

India's Security Doctrine: Shift Towards Deterrence by Punishment



For Prelims: PRAHAAR , Operation Sindoor , Indus Waters Treaty (1960) , Attari-Wagah Integrated Check Post , Positive Indigenization Lists , iDEX (Innovations for Defence Excellence)

For Mains: Perimeter Fallacy and emerging borderless security threats, India's shift from deterrence by denial to deterrence by punishment, Multi-domain warfare and national security

Source: IE

Why in News?

The Defence Minister of India outlined a decisive shift in India's national security doctrine at **DefCon 2026** . He cautioned policymakers against the "**perimeter fallacy**" and announced that India's strategic approach has formally evolved from "strategic containment" and "**deterrence by denial**" toward a proactive posture of "**deterrence by punishment**" .

Summary

- India is shifting from "strategic containment" and "deterrence by denial" toward a proactive posture of "deterrence by punishment", addressing cyberattacks, drones, gray-zone warfare, energy vulnerabilities and critical technology dependencies.
- Building resilience requires defence indigenisation, integrated military commands, intelligence-led counter-terrorism, critical infrastructure protection and whole-of-government coordination.

What is the 'Perimeter Fallacy'?

- **Definition:** The term "perimeter fallacy" refers to the **misconception or assumption** that national security can be understood and managed solely by safeguarding a country's physical, geographical boundaries.
- **Fluidity of Modern Threats:** While territorial borders remain geographically fixed, the **nature of**

modern conflict has evolved, making the boundaries of threats highly fluid. Security threats are increasingly borderless and extend far beyond conventional battlefields.

- **New Fronts of Warfare:** Relying only on **border fortifications and troop deployments is inadequate to combat modern-day vulnerabilities** such as drone and unmanned system incursions, cyberattacks, disinformation campaigns, and lone-wolf attacks.
- **Economic & Energy Security Integration:** Security is no longer limited to the military domain. Hostile actors can bypass physical borders to disrupt critical supply chains and damage the economy.
 - For instance, India's heavy reliance on imported crude oil makes global chokepoints, such as the **Strait of Hormuz**, a critical vulnerability that directly impacts national security.

What is India's Shift Towards Deterrence by Punishment?

- **Deterrence:** It refers to the strategy of discouraging adversaries from undertaking **hostile actions by influencing their assessment** of risks and costs. It works by creating uncertainty about the success of an attack and increasing the expected consequences of aggression.
- **Deterrence by Denial:** Historically, **India relied heavily on this strategy, operating on the logic that an attack** will fail because defensive measures (like fortifying borders or hardening domestic targets) will successfully thwart it.
- **Deterrence by Punishment:** In contrast, the new approach of "deterrence by punishment" focuses on shifting from merely preventing attacks to imposing **credible and unacceptable costs** on adversaries after hostile actions.
 - Its effectiveness depends on **credible retaliatory capabilities, clear signalling, and political-military preparedness** to respond decisively when red lines are crossed.

Institutionalizing the Shift Towards Deterrence by Punishment

- **Kinetic Retaliation:** This paradigm shift has been practically demonstrated through successive, high-impact military actions. The **2016 Surgical Strikes**, the **2019 Balakot air strikes**, and **Operation Sindoor (2025)** clearly establish India's resolve to cross physical borders to dismantle terror infrastructure directly at its source.
- **The PRAHAAR Strategy:** To institutionalize this proactive stance, India formulated PRAHAAR, its first comprehensive National Counter-Terrorism Policy and Strategy. It explicitly mandates a "zero-tolerance" approach, replacing ad-hoc reactive measures with an intelligence-driven, "whole-of-government" framework aimed at neutralizing asymmetric threats before they materialize.
- **Diplomatic and Economic Coercion:** Deterrence by punishment extends beyond the battlefield into aggressive statecraft. India has successfully leveraged diplomatic measures in the **Financial Action Task Force (FATF)** and other multilateral institutions, ensuring that Pakistan remains isolated on the global stage.
 - Actions such as **keeping the Indus Waters Treaty (1960) in abeyance, suspending bilateral trade, and closing the Attari-Wagah Integrated Check Post**, alongside **multilateral diplomacy and credible military power**, reflect India's broader multi-domain security approach.



What are the Challenges to India's Security Architecture?

- **The "Perimeter Fallacy" and Borderless Threats:** Focusing disproportionately on physical frontiers leaves the nation vulnerable to **non-kinetic, borderless vectors** such as **state-sponsored cyber warfare**, autonomous drone swarms, and AI-driven disinformation campaigns targeting domestic social cohesion.
 - The **November 2025 Red Fort car bombing** highlighted how terrorists can combine **physical operations with encrypted digital communication**. It showed that **digital networks can enable asymmetric threats** beyond conventional border security.
- **Critical Energy and Maritime Chokepoints:** India relies on imports for over 85% of its crude oil. Chokepoints such as the **Strait of Hormuz** and shipping corridors in the **Red Sea/Gulf of Aden** (vulnerable to non-state actors like Houthis) expose the economy to severe freight spikes, supply disruptions, and insurance surcharges.
- **Supply Chain Dependencies in Critical Technologies:** Reliance on external suppliers for **semiconductors**, advanced electronics, **Active Pharmaceutical Ingredients (APIs)**, and **rare earth elements** leaves India's military-industrial complex vulnerable to geopolitical coercion and global supply shocks.
- **Two-Front Collusive Gray-Zone Warfare:** The operational convergence between China and Pakistan manifests not only in **conventional threats** but in **"gray-zone" tactics—actions below the threshold of open war**.
 - This includes border infrastructure expansion, cyber espionage, proxy insurgencies, and intelligence

sharing, such as China providing intelligence support to Pakistan during India's Operation Sindoor.

- **Grassroots Technological Asymmetry:** While apex agencies like the **National Critical Information Infrastructure Protection Centre (NCIIPC)** and **Indian Cyber Crime Coordination Centre (I4C)** possess advanced capabilities, state-level police forces face technical deficits in digital evidence extraction, drone interception, and counter-terror investigation under the **Bharatiya Sakshya Adhiniyam (BSA), 2023** .

What Measures are Needed to Build a Resilient Security Architecture?

- **Operationalizing Integrated Theatre Commands (ITCs):** Move rapidly toward creating **integrated theater commands** (Western, Eastern, and Maritime) to ensure unified resource allocation, joint planning, and swift tri-service kinetic retaliatory execution under the **Chief of Defence Staff (CDS)**.
- **Deepening Defense Indigenization and R&D:** Expand the **Positive Indigenization Lists** (currently covering 5,500+ items) to reduce import dependencies in frontline platforms.
 - Scale up the **iDEX (Innovations for Defence Excellence)** initiative and ensure that the **25% defense R&D budget earmarked for private industry and academia** translates into sovereign intellectual property for electronic warfare, quantum encryption, and counter-drone systems.
- **Critical Infrastructure Hardening:** Mandate automated, real-time cyber telemetry sharing between public utilities, the banking sector, telecom infrastructure, and **CERT-In** to prevent systemic collapses triggered by cross-border cyber intrusions.
- **Securing Strategic Economic Buffers:** Expand the capacity of **Strategic Petroleum Reserves (SPRs)** beyond the current 9.5-day commercial buffer to build resilience against maritime blockades.
 - Diversify maritime trade through alternate logistics frameworks such as the **India-Middle East-Europe Economic Corridor (IMEC)** .
- **Whole-of-Government Law Enforcement Convergence:** Institutionalize mandatory, real-time integration between national intelligence grids (**NATGRID** , **Samanvaya platform**) and local police stations to disrupt proxy terror networks, illicit terror finance, and cyber syndicates before they manifest into national crises.
- **Strengthening Multi-Domain Security** : India needs coordinated preparedness across land, maritime, cyber, space, economic and information domains to address evolving threats.

Conclusion

India's doctrinal shift from passive border containment to proactive deterrence by punishment marks a pragmatic adaptation to modern, multi-domain warfare. By integrating kinetic readiness with economic resilience, critical energy security, and institutional frameworks like PRAHAAR, the nation establishes a credible threshold against asymmetric aggression.

Drishti Mains Question:

India's shift from deterrence by denial to deterrence by punishment represents a change in its strategic posture. Discuss.

Frequently Asked Questions (FAQs)

1. What is the “Perimeter Fallacy”?

The **Perimeter Fallacy** is the assumption that national security can be ensured mainly by protecting physical borders, overlooking **cyber, economic, technological, informational and other borderless threats** .

2. What is deterrence by punishment?

Deterrence by punishment seeks to discourage hostile action by imposing **retaliatory costs that outweigh the potential gains** of an attack, unlike deterrence by denial, which focuses on preventing the attack from succeeding.

3. What is PRAHAAR?

PRAHAAR is described as India’s comprehensive **National Counter-Terrorism Policy and Strategy** , emphasising **prevention, intelligence-led action, coordinated response and whole-of-government counter-terrorism efforts** .

4. Why are Integrated Theatre Commands important?

Integrated Theatre Commands (ITCs) aim to enhance **tri-service coordination, joint planning, resource optimisation and operational effectiveness** across different theatres.

5. How can India strengthen resilience against emerging security threats?

India needs greater **defence indigenisation, critical-infrastructure protection, cyber resilience, strategic energy buffers, intelligence coordination and grassroots technological capacity** to address multi-domain threats.

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UPSC Civil Services Examination, Previous Year Questions (PYQs)

Mains

Q. What are India’s internal security challenges? Give out the role of Central Intelligence and Investigative Agencies tasked to counter such threats. **(2023)**

Q. Analyse the multidimensional challenges posed by external state and non-state actors, to the internal security of India. Also discuss measures required to be taken to combat the threats. **(2021)**

Q. The banning of ‘Jamaat-e – islaami’ in Jammu and Kashmir brought into focus the role of over-ground workers (OGWs) in assisting terrorist organizations. Examine the role played by OGWs in assisting terrorist organizations in insurgency affected areas. Discuss measures to neutralize the influence of OGWs. **(2019)**

Rising India’s Household Debt and its Implications



For Prelims: Mutual Funds , Gross Capital Formation , Non-Performing Asset , Foreign Portfolio Investment (FPI) , Production Linked Initiative' (PLI) schemes , Sovereign Gold Bonds (SGBs)

For Mains: Changing household savings and borrowing patterns in India, Household debt and financial stability

Source: TH

Why in News?

India is witnessing a **significant rise in household debt** , while **net financial savings have declined from pandemic-era highs** . This trend raises concerns about the sustainability of **credit-driven consumption and increasing reliance on future income** .

Summary

- India is shifting from a savings-led to a credit-driven household model, with household debt rising to 45.5% of GDP amid growing unsecured and consumption-oriented borrowing.
- While credit can support growth, excessive debt can weaken household financial resilience, savings, inequality and financial stability, highlighting the need for income-led growth, responsible lending and stronger social security.

What are the Key Trends in Household Debt and Savings?

- **Rising Debt-to-GDP Ratio:** Household debt has grown rapidly, rising from **39.2% of GDP in March 2021 to 42% in June 2023**, and reaching 45.5% by September 2025.
- **Plunge and Slow Recovery in Net Financial Savings (NFS):** **Household NFS** peaked at 15% of GDP in Q1 2020–21 due to precautionary pandemic savings, before dropping to 5.1% in 2022–23 and 5.3% in 2023–24.
 - Recent government data points to a modest recovery toward 6% in 2024–25, still below the **historical baseline of 7–8%**.
- **Surge in Financial Liabilities:** **Gross financial liabilities** increased from 3.9% of GDP in 2020–21 to 6.4% in 2023–24, indicating a higher propensity to borrow even as economic growth revived.
- **Composition of Household Debt:**
 - **Shift from Assets to Consumption:** Traditionally, housing loans (which create tangible assets) dominated household borrowing. Today, non-housing retail loans, primarily used for consumption, **constitute 54.9% of total household debt (as of March 2025)**.
 - **Rise of Unsecured Credit:** The rapid expansion of personal loans, credit cards, consumer durable

loans, and **Buy-Now-Pay-Later (BNPL) schemes** has outpaced housing, agriculture, and business loans.

- **High Income Commitment:** As of March 2024, these **non-housing retail loans consumed 25.7%** of household disposable income, locking up future earnings to pay for past consumption.
- **Savings Patterns :** Household allocation to **Mutual Funds (MFs)** has seen a massive surge, growing from just 2.1% of financial asset flows in 2020-21 to 7% in 2023-24, showing a clear pivot from contractual return assets (like bank deposits) to growth-oriented market assets.

Drivers of Rising Household Debt

- **Digital Lending and Frictionless Credit:** **Fintech platforms**, BNPL schemes, and instant pre-approved loans have drastically **reduced credit access barriers**, blurring the distinction between **affordability and borrowing capacity**.
- **Sluggish Real Wage Growth:** Stagnant real earnings across unorganized, informal, and entry-level service sectors have forced households to **lean on credit to bridge the cost-of-living gap**.
- **Debt as a Substitute for Social Safety Nets:** Escalating **out-of-pocket expenses in healthcare, quality schooling, housing rent**, and elderly care compel households to borrow for essential needs in the absence of comprehensive social security.
- **Behavioral and Lifestyle Shifts:** Post-pandemic optimism, combined with consumer aspirational culture, has **normalized debt-financed lifestyle upgrades** and discretionary consumption.

What are the Macroeconomic Implications?

- **Crowding Out Private Investment:** Household savings are the primary source of funds for **both government borrowing and corporate investment**.
 - A decline in household savings reduces the **pool of funds available for Gross Capital Formation**, potentially slowing down long-term infrastructure and industrial growth.
- **The Consumption Debt Trap:** While credit can boost short-term demand, rising EMIs reduce future disposable income and may create a **vicious cycle of borrowing**. Households may take fresh loans or **use credit cards to repay existing EMIs, with average borrower debt rising 23% between 2023 and 2025**.
- **K-Shaped Inequality:** Rising debt-servicing costs can divert spending from **education and nutrition**, weakening long-term productivity. Meanwhile, high-income households accumulate wealth through financial assets, while lower-income groups increasingly rely on debt for basic needs, **widening the wealth gap**.
- **Banking Sector Vulnerabilities:** Unsecured, non-housing retail loans exposes banks and NBFCs to sudden **Non-Performing Asset (NPA)** spikes, especially given the highly volatile income streams of gig and informal sector workers relying on this debt.
- **Current Account Deficit (CAD) Stress:** If domestic savings fall, the country has to rely more on foreign capital to fund its investments, which can worsen the **Current Account Deficit**.
 - Lower household savings can increase reliance on **Foreign Portfolio Investment (FPI) and external borrowing**. With FPIs withdrawing a record **Rs 1.66 lakh crore from India in 2025**, such dependence can heighten vulnerability to **capital outflows, global shocks and financing stress**.
- **Vulnerability of the Informal Sector:** According to the **RBI Annual Report 2024-25**, income growth remains uneven, with gains concentrated in the formal sector.
 - **Informal workers, self-employed individuals and casual labourers** often face stagnant or volatile incomes, making regular savings and repayment of **unsecured debt** more difficult.

- **Illusion of Welfare:** A fundamental risk for policymakers is confusing access to credit with an actual improvement in economic welfare. Debt has become a mechanism for postponing, rather than resolving, income constraints.
 - Recognizing this systemic risk, the **RBI was forced to intervene by significantly raising risk weights on consumer credit in November 2023** to intentionally cool down the aggressive marketing of digital, unsecured loans.
- **Impact on Monetary Policy Transmission:** Rising household leverage can make consumption more sensitive to changes in interest rates.
 - Highly indebted households face an immediate change in EMI and debt-servicing burdens when lending rates change, potentially **transmitting monetary-policy tightening to household consumption more rapidly**.
- **Gold-Backed Borrowing and Collateral Illusion:** Rising gold prices increase collateral value, allowing households to borrow more against the same jewellery.
 - However, higher collateral value does not improve **income or repayment capacity, potentially creating an illusion of financial strength** while increasing household leverage.

What Measures are Needed to Tackle Rising Household Debt in India?

- **Enforce Strict Debt-to-Income (DTI) Caps:** The RBI must establish early warning systems and mandate stringent **DTI limits to prevent over-leveraging**.
 - Curbs on **algorithm-based, pre-approved unsecured credit** are necessary to stop fintech platforms from pushing households beyond their repayment capacity.
- **Pivot to Asset-Based Borrowing:** Financial regulations should incentivize **wealth-generating credit** (such as housing, education, and MSME loans) while actively penalizing high-yield, short-term consumption loans like BNPL through sustained higher risk weights.
- **Focus on Real Wage Growth:** Policy must pivot toward creating high-quality, formal-sector jobs. Strengthening the manufacturing sector through **'Production Linked Initiative' (PLI) schemes** can provide the stable income growth needed to outpace debt.
- **Incentivize Long-Term Wealth Creation:** To rebuild depleted Net Financial Savings (NFS), policymakers should deploy low-cost fintech advisory frameworks that guide retail investors toward structured, inflation-beating assets like **Equity-Linked Savings Schemes (ELSS)**, and **Systematic Investment Plans (SIPs)**.
- **Strengthen Social Protection and Income Security:** Since borrowing may arise from medical expenses, education, unemployment and everyday household needs, stronger healthcare protection, social security and stable income growth can reduce distress borrowing.

Conclusion

India's household debt is not a problem merely because it is rising. The real concern is when **borrowing substitutes for adequate income**. While **productive and asset-building credit** can support growth, excessive consumption debt can weaken household resilience. India therefore needs **income-led growth, stronger social security and responsible credit** so that households can finance their aspirations through rising incomes rather than against their future.

Drishti Mains Question:

How has the expansion of digital lending and unsecured credit altered the traditional savings-led financial behaviour of Indian households? Discuss its macroeconomic implications.

Frequently Asked Questions (FAQs)

1. What is the recent trend in India's household debt?

Household debt rose from 39.2% of GDP in March 2021 to 45.5% by September 2025 , reflecting increasing household leverage and credit dependence.

2. What are non-housing retail loans?

Non-housing retail loans include personal loans, credit-card loans and consumer-oriented credit, which are increasingly important components of household borrowing and require careful monitoring.

3. Why is unsecured household credit a concern?

Unsecured credit is not backed by collateral and can expose **households and lenders to higher default risks** , particularly when borrowers have volatile or uncertain incomes.

4. How does declining household saving affect the economy?

Lower household savings can reduce the **domestic pool of funds for investment** , increase dependence on external capital and potentially raise financing costs.

5. What measures can address rising household indebtedness?

Key measures include **responsible lending, stronger digital-lending regulation, financial literacy, monitoring unsecured credit, income-led growth and stronger social security** to reduce distress borrowing.

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UPSC Civil Services Examination, Previous Year Question

Prelims

Q. In a given year in India, official poverty lines are higher in some States than in others because (2019)

- (a) poverty rates vary from State to State
- (b) price levels vary from State to State
- (c) Gross State Product varies from State to State
- (d) quality of public distribution varies from State to State

Ans: (b)

Q. As per the NSSO 70th Round “Situation Assessment Survey of Agricultural Households”, consider the following statements: (2018)

1. Rajasthan has the highest percentage share of agricultural households among its rural households.
2. Out of the total agricultural households in the country, a little over 60 percent belong to OBCs.
3. In Kerala, a little over 60 percent of agricultural households reported to have received maximum income from sources other than agricultural activities.

Which of the statements given above is/are correct?

- (a) 2 and 3 only
- (b) 2 only
- (c) 1 and 3 only
- (d) 1, 2 and 3

Ans: (c)

Mains

Q. Among several factors for India’s potential growth, the savings rate is the most effective one. Do you agree? What are the other factors available for growth potential? (2017)

Bharat Maritime Insurance Pool (BMIP)



Source: PIB

Why in News?

Recently, **World Maritime Day 2026** was observed on **24th September 2026** under the theme **“From Policy to Practice: Powering Maritime Excellence,”** highlighting the need for resilient and effective maritime systems.

- In this context, India’s **Bharat Maritime Insurance Pool (BMIP)** has gained significance as part of the country’s efforts to strengthen maritime resilience and reduce external dependence on maritime insurance.

What are the Key Facts About India’s Maritime Sector?

- **Maritime Trade Backbone:** Maritime routes are central to India’s **trade, energy security and economic growth** , carrying crude oil imports, merchandise exports and other critical cargo.
- **Extensive Maritime Infrastructure:** India operates **12 Major Ports and 217 Non-Major Ports** that handle diverse cargo across the country. During **2025-26** , these ports handled around **1,668 million metric tonnes of cargo** , reflecting the growing role of maritime trade in economic development.
- **Long Coastline Advantage:** India has a coastline of around **11,098 kilometres** , providing strategic advantages through natural harbours, port locations and access to major international sea routes.
- **Strategic Coastal Presence:** Several coastal States and Union Territories provide opportunities for maritime trade, port-led development, coastal industries and blue economy activities.
- **Vast Exclusive Economic Zone (EEZ):** India’s **2.4 million square kilometre EEZ** provides sovereign rights over marine resources, fisheries and other economic activities, strengthening maritime resource security.
- **Extensive Inland Waterways:** India has over **14,500 kilometres of inland waterways** , including rivers, canals and backwaters, offering an efficient and cost-effective mode of freight transportation.
- **Maritime Livelihood Support:** The maritime sector supports the livelihoods of over **30 million people** , including fishers, port workers, seafarers and shipbuilding professionals, highlighting its socio-economic importance.
- **Marine Insurance Dependence:** Despite growing maritime trade, India remains significantly dependent on **foreign marine insurance providers** , resulting in an annual outflow of about **USD 45-60 million in P&I premiums** , apart from other marine insurance payments abroad.

What are the Key Facts About Bharat Maritime Insurance Pool (BMIP)?

- **About:** BMIP is **India’s first domestic maritime insurance pool** , approved on **18th April 2026** and formally launched on **12th May 2026** , with coverage capacity of **₹13,906.50 crore (USD 1.5 billion)** and sovereign backing of **₹12,980 crore (USD 1.4 billion)** .
- **Objective:** It aims to **reduce dependence on foreign insurers** , strengthen domestic maritime insurance capacity and ensure affordable and uninterrupted insurance coverage during global disruptions.
- **Coverage and Eligibility:** It covers **Hull & Machinery, Cargo, Protection & Indemnity (P&I) and War risks** for Indian-flagged vessels, vessels owned, managed or controlled by Indian entities, and cargo vessels originating from or destined for India.

- **Implementation:** BMIP enables **Indian insurers to independently cover higher-value Indian vessels**, strengthening domestic capability in maritime risk insurance. BMIP has an initial tenure of **10 years**, extendable up to **15 years**.
- **Operational Mechanism:** Policies are issued by participating domestic insurers, while risks are **collectively reinsured among Pool members** according to their committed capacity.
- **Claims Management:** Claims up to **USD 100 million** are met through accumulated reserves and reinsurance recoveries; for larger claims, the **sovereign guarantee** is activated after exhaustion of Pool reserves.
- **Administration and Governance:** **GIC Re** acts as the Pool Administrator, supported by a **Governing Body** for oversight and an **Underwriting Committee** for risk assessment and financial sustainability.
- **Nature of Protection:** BMIP provides specialised protection against **vessel and cargo war risks, third-party liabilities, pollution, wreck removal, crew injuries, piracy, terrorism and hostile vessel seizure**.

Why India Needs Bharat Maritime Insurance Pool (BMIP)?

- **Growing Maritime Dependence:** India's maritime sector has expanded significantly, with the **Indian-flag fleet reaching 1,609 ships and 14.33 million GT in mid-2026**, reflecting a growth of around **36% in tonnage since 2015**. Around **95% of India's trade value and 70% of trade volume** moves through maritime routes, highlighting the strategic importance of shipping infrastructure.
- **Maritime Insurance as an Economic Necessity:** Marine insurance acts as an **invisible lifeline of global trade** by protecting ships, cargo and maritime operations. **Hull and Machinery insurance** covers vessels, **Cargo insurance** protects goods, **Protection and Indemnity (P&I)** covers liabilities such as pollution and crew injuries, while **War Risk insurance** provides protection against piracy and conflicts.
- **Dependence on Foreign P&I Clubs:** India has historically relied heavily on the **13 international P&I clubs under the International Group of P&I Clubs**, which collectively insure around **90% of the world's large ships**. This dependence on foreign insurers creates vulnerabilities due to possible withdrawal of coverage, higher premiums or externally driven decisions.
- **Geopolitical Risks and Trade Disruptions:** Conflicts and instability in key maritime regions such as the **Red Sea and Strait of Hormuz** have affected shipping operations and insurance costs. Since India's energy imports largely depend on sea routes, disruptions in insurance availability can impact trade and energy security.
- **Building Domestic Insurance Expertise:** India previously lacked sufficient institutional capacity in **marine underwriting and claims management**. BMIP aims to develop indigenous expertise, strengthen domestic insurance capabilities and reduce dependence on global insurance hubs.
- **Strengthening Maritime Resilience:** By providing sovereign-backed and domestic insurance capacity, **BMIP enhances the affordability, availability and reliability of maritime insurance**, strengthening India's shipping ecosystem and preparedness against global risks.

What is the Significance of Bharat Maritime Insurance Pool (BMIP)?

- **Operational Scale:** As of **7th September 2026**, BMIP had issued **3,000 Cargo War, 92 Hull War-risk and 3 Protection & Indemnity (P&I) policies**, indicating its rapid operationalisation.

- **Continuity and Lower Insurance Costs:** Since its launch, BMIP has ensured uninterrupted **War-risk insurance coverage** for Indian maritime stakeholders. War-risk insurance premiums have **declined by around 35-40% from their peak during the West Asia conflict**.
- **First P&I Policy under BMIP:** On **30th July 2026**, the first P&I policy under BMIP was issued to the **Shipping Corporation of India Limited** by **New India Assurance Company Limited**, providing protection against third-party maritime liabilities.
- **First Hull & Machinery War-risk Policy:** BMIP's first policy was issued on **12th May 2026** to **M/s Hoger Offshore and Marine Private Limited** for a vessel operating through conflict zones, providing domestic protection against war-related maritime risks.
- **Protecting Industrial Supply Chains:** A **Marine Cargo War Policy** was issued to **Vedanta Sterlite Copper Limited** for imports, demonstrating BMIP's role in protecting critical industrial trade flows.
- **Wider Economic Coverage:** Coverage extended beyond shipping companies to firms such as **Balrampur Chini Mills Limited**, showing that manufacturers, commodity traders and other businesses dependent on maritime transport can also benefit.
- **Strategic Impact:** BMIP strengthens India's **maritime resilience and domestic insurance capacity**, while reducing dependence on overseas insurers and supporting reliable insurance protection during global disruptions.



Conclusion

The **Bharat Maritime Insurance Pool (BMIP)** marks an important step towards strengthening India's **maritime financial independence and trade resilience**. By building domestic insurance capacity, improving claims reliability and reducing dependence on foreign insurers, BMIP can support India's expanding shipping and port ecosystem. In the long term, it can help position India as a **regional maritime insurance hub in the Indian Ocean Region** and strengthen its role in shaping maritime risk management.

Drishti Mains Practice Question

Bharat Maritime Insurance Pool is a strategic initiative to strengthen India's maritime sovereignty. Discuss its significance for India's trade resilience and Blue Economy.

Frequently Asked Questions (FAQs)

Q1. What is Bharat Maritime Insurance Pool (BMIP)?

BMIP is India's first domestic maritime insurance pool that provides insurance coverage for Indian vessels and cargo-related maritime risks.

Q2. When was BMIP launched?

BMIP was launched on **12 May 2026** .

Q3. What is the total coverage capacity of BMIP?

BMIP has a coverage capacity of **₹13,906.50 crore (USD 1.5 billion)** .

Q4. Which organisation manages BMIP?

The **General Insurance Corporation of India (GIC Re)** acts as the Pool Administrator.

Q5. What types of risks are covered under BMIP?

BMIP covers:

- Hull and Machinery risks.
- Cargo risks.
- Protection and Indemnity risks.
- War risks.

[Watch Video on YouTube:

▶ <https://www.youtube.com/embed/NDJaKdyFlaE>

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UPSC Civil Services Examination Previous Year Questions (PYQ)

Prelims

Q. In India, under cyber insurance for individuals, which of the following benefits are generally covered, in addition to payment for the loss of funds and other benefits? (2020)

1. Cost of restoration of the computer system in case of malware disrupting access to one's computer
2. Cost of a new computer if some miscreant wilfully damages it, if proved so
3. Cost of hiring a specialized consultant to minimize the loss in case of cyber extortion
4. Cost of defence in the Court of Law if any third party files a suit

Select the correct answer using the code given below:

- (a) 1, 2 and 4 only
- (b) 1, 3 and 4 only
- (c) 2 and 3 only
- (d) 1, 2, 3 and 4

Ans: (b)

Mains

Q. Public health system has limitations in providing universal health coverage. Do you think that private sector could help in bridging the gap? What other viable alternatives would you suggest? **(2015)**

Q. The product diversification of financial institutions and insurance companies, resulting in overlapping of products and services strengthens the case for the merger of the two regulatory agencies, namely SEBI and IRDA. Justify. **(2013)**

Green Energy Corridor Phase-III



Source: PIB

Why in News?

The Union Cabinet recently approved the **Green Energy Corridor Phase-III (GEC-III) scheme** with a massive outlay of **Rs 1.86 lakh crore**. The initiative aims to build a robust **Intra-State Transmission System (InSTS)** to evacuate up to **135 GW of renewable energy** across various

What are the Key Features of the Green Energy Corridor (GEC)?

- **About:** The **GEC** is a critical national infrastructure initiative implemented by the **Ministry of New and Renewable Energy (MNRE)** to efficiently **integrate renewable electricity with conventional power stations**, ensuring grid stability and helping India meet its **climate change commitments**.
- **Origin & Need:** Stemming from a **2012 Power Grid Corporation of India Limited (PGCIL) study**, the project was launched in **2015** to upgrade existing power grids that were incapable of handling the erratic and geographically dispersed nature of large-scale renewable generation.
- **Key Features of GEC:**
 - **Inter-State Transmission System (ISTS):** Develops high-voltage transmission lines to evacuate power across state boundaries from **renewable energy-rich states to high-demand regions** via the central grid.
 - **Central Financial Assistance (CFA)** will offset **intra-state transmission charges**, helping **reduce power costs for end users**.
 - **Intra-State Transmission System (InSTS):** Focuses on strengthening local transmission networks to distribute renewable energy efficiently **within different districts of the same state**.
 - **Renewable Energy Management Centres (REMCs):** Utilizes real-time data and forecasting tools to balance the irregular generation patterns of solar and wind power.
 - They operate across the **Southern, Western, and Northern Regions** in coordination with State, Regional, and **National Load Dispatch Centres (NLDC)**.
 - **Grid Stability Mechanisms:** Deploys **Reactive Power Compensation (RPC)** to correct voltage fluctuations and **Energy Storage Systems (ESS)** (like grid-scale batteries) to store excess power for dispatch during peak demand or low generation periods.
- **GEC Phase-I:** Being implemented across **eight renewable-rich states** (Tamil Nadu, Rajasthan, Karnataka, Andhra Pradesh, Maharashtra, Gujarat, Himachal Pradesh, and Madhya Pradesh).
 - It aims to integrate **24 GW of renewable energy** through **9,700 ckm of transmission lines** and **22,600 MVA of substation capacity**, with completion targeted by **FY 2027**.
- **GEC Phase-II:** It envisages **10,750 ckm of transmission lines** and **27,500 MVA** of substation capacity to integrate and evacuate around **20 GW of renewable energy** across **7 States**: Gujarat, Himachal Pradesh, Karnataka, Kerala, Rajasthan, Tamil Nadu and Uttar Pradesh.
 - Implemented during **2021-22 to 2025-26**, with **CFA** to reduce transmission charges and keep electricity costs lower.
 - It supports India's energy security, reduces carbon emissions, and generates employment, while aligning with the target of integrating over 500 GW of non-fossil fuel-based capacity by 2030.

Green Energy Corridor Phase-III (GEC-III)

- **Evacuation Capacity:** Aims to evacuate up to **135 Gigawatt (GW)** of renewable energy across various States and Union Territories.
- **Focus on Intra-State Grid:** Focuses exclusively on strengthening and expanding the **InSTS** to connect renewable-rich zones directly with regional load centers.
- **Grid-Scale Storage (BESS):** Integrates **50 GWh of Battery Energy Storage Systems (BESS)** at

generator terminals and critical nodes to address renewable intermittency, prevent peak-hour curtailment, manage grid congestion, and provide round-the-clock power during non-solar hours.

- **Project Execution Mechanism:**

- **Greenfield Projects:** Executed through **Tariff Based Competitive Bidding (TBCB)** under a **Build-Own-Operate-Maintain (BOOM)** framework.
- **Brownfield Projects:** Network upgrades and system-strengthening works undertaken on a **Cost Plus Basis (CPB)** .

- **Nodal Agencies: State Transmission Utilities (STUs)** serve as the principal implementing bodies in coordination with private and public Transmission Service Providers (TSPs).

- **Target Timeline:** Slated for full commissioning and operationalization by **FY 2032-33** .

- **Strategic Alignment:** Serves as a critical infrastructure backbone to help India achieve its expanded target of **900 GW of installed non-fossil fuel capacity by 2035** , while driving domestic battery manufacturing and grid management capabilities.
 - By strengthening domestic transmission and storage capability, GEC-III can **reduce dependence on fossil-fuel-based balancing generation** and improve the system's ability to absorb variable solar and wind power, thereby supporting long-term energy security.

Frequently Asked Questions (FAQs)

1. What is the Green Energy Corridor?

The **Green Energy Corridor (GEC)** is a transmission infrastructure initiative aimed at integrating and evacuating **large-scale renewable energy** while maintaining grid stability.

2. What is the key objective of GEC-III?

GEC-III aims to strengthen the **Intra-State Transmission System** and facilitate evacuation of up to **135 GW of renewable energy by FY 2032-33** .

3. What is the role of BESS under GEC-III?

GEC-III incorporates **50 GWh of Battery Energy Storage Systems (BESS)** to manage renewable intermittency, reduce congestion and support power availability during non-solar hours.

4. How does GEC improve grid stability?

It uses **Renewable Energy Management Centres (REMCs), forecasting systems, reactive power compensation and energy storage** to manage fluctuations in solar and wind generation.

5. How will GEC-III be implemented?

State Transmission Utilities (STUs) are the principal implementing agencies. Greenfield projects will use **Tariff Based Competitive Bidding (TBCB)** , while brownfield strengthening will follow a **Cost Plus Basis** .

[Watch Video on YouTube: [▶ https://www.youtube.com/embed/bc6VHjq7kOA](https://www.youtube.com/embed/bc6VHjq7kOA)]

UPSC Civil Services Examination, Previous Year Question (PYQ)

Prelims

Q. With reference to the Indian Renewable Energy Development Agency Limited (IREDA), which of the following statements is/are correct? (2015)

1. It is a Public Limited Government Company.
2. It is a Non-Banking Financial Company.

Select the correct answer using the code given below:

- (a) 1 only
- (b) 2 only
- (c) Both 1 and 2
- (d) Neither 1 nor 2

Ans: (c)

Mains

Q. “Access to affordable, reliable, sustainable and modern energy is the sine qua non to achieve Sustainable Development Goals (SDGs)”. Comment on the progress made in India in this regard. **(2018)**

Q. Write a note on India’s green energy corridor to alleviate the problem of conventional energy. **(2013).**

End of Operation Inherent Resolve in Iraq



Source: TH

The **United States military officially completed its troop withdrawal from Iraq** , concluding the **12-year Operation Inherent Resolve** , an international mission launched in **2014 to defeat the Islamic State (IS)** . The withdrawal marks a **significant shift in the security and geopolitical landscape of West Asia** .

- **Historical Background:** American forces invaded Iraq in 2003 and overthrew the authoritarian Ba’athist regime of President Saddam Hussein. Following a withdrawal in 2011, US troops were invited back by the Iraqi government in **2014 to combat the rampant expansion of the Islamic State** , which had captured nearly a third of the country's territory.
- **Iraq:** It is a **West Asian country** located in the historic region of **Mesopotamia** , meaning the “land

between rivers.”

- It shares borders with **Turkey** to the north, **Iran** to the east, **Kuwait and the Persian Gulf** to the southeast, **Saudi Arabia** to the south, **Jordan** to the southwest, and **Syria** to the west.
- **Rivers:** The country's geography and agriculture are defined by the **Tigris** and **Euphrates** rivers. They flow southeast across the country and merge to form the **Shatt al-Arab** before emptying into the Persian Gulf.
- **Terrain:** The landscape consists of the **Syrian Desert in the west**, the **fertile Mesopotamian alluvial plain** in the center, and the rugged **Zagros Mountains in the northeast (Kurdish region)**.



Geopolitical Implications

- **Opening for Iran:** Iran and its allied Shia militias (such as Kataib Hezbollah) have celebrated the US exit as a victory for their "**axis of resistance**".
 - The withdrawal creates a strategic vacuum that Iran is likely to exploit to deepen its political and military influence over Iraq's central government.
- **Threat of IS Resurgence:** ISIS lost its territorial control in Iraq in 2017, though sleeper cells and insurgent networks remain active.
 - Iraqi security officials and analysts warn that the absence of US airpower, surveillance, and logistical support could give these extremist cells the operational breathing room to regroup.
- **Vulnerability of the Kurdish Region:** The Kurdistan Regional Government (KRG) in northern Iraq is highly concerned about the withdrawal.
 - The region has frequently been targeted by drone and ballistic missile attacks from Iran-backed factions, and the removal of US defense systems from Erbil leaves them highly exposed.

Read more: [Razzaza Lake: Iraq](#)

Surging Sulphur Prices: Impact on India



Source: TH

Driven by the **Russia-Ukraine war** and escalating **conflicts in West Asia**, international **sulphur prices** have witnessed an unprecedented surge (USD 280 per tonne in July 2025 to USD 1,050 per tonne in July 2026), significantly increasing India's **import burden and threatening critical supply chains** in both agriculture and metal processing.

- **By-Product Dependency:** About **92% of global sulphur is produced as a non-discretionary by-product** of petroleum refining and natural-gas processing. Only **8% is extracted directly through mining** from natural deposits or sulphur-rich minerals like pyrites.
- **Global Leaders:** **China is the world's largest producer**, followed by the US, Russia, Saudi Arabia, and the UAE.
- **Emerging Structural Deficit:** The global sulphur market slipped into a **structural deficit by 2024**, with demand (72.8 MT) outstripping the total supply (70.8 MT) in 2025.
- **The EV Battery Connection:** A major new driver of demand is the **metals processing industry**. Sulphuric acid is crucial for **High-Pressure Acid Leach (HPAL) plants used to extract nickel** from laterite ores.
 - This nickel is an indispensable component for manufacturing **electric vehicle (EV) batteries**, a sector seeing booming demand, particularly in Indonesia.
- **Russia-Ukraine Supply Shock:** Repeated **Ukrainian drone strikes on Russia's Astrakhan gas-processing plant** severely damaged sulphur recovery infrastructure.
 - Consequently, **Russia to manage domestic demand restricted its industrial sulphur exports until 31 st December 2026**.
- **India's Import Vulnerability:** Despite being among the **top ten producers of sulphur** with 3.7 MT, India relies on imports to meet its demand (India imports over 52% of the fertilizer sector's sulphur requirement).
 - India's imports have grown over the years, with **West Asian producers contributing to about 90% of its total imports**.
 - In 2025, India imported 2.25 MT of sulphur, of which 2.02 MT came from West Asia. **Russia accounted for 0.15 MT (6.5%)**.
- **Economic Impact on India:** With no immediate end to geopolitical uncertainties, India faces a **higher import bill and an increased agricultural fertilizer subsidy burden**, which could have cascading effects on both food security and inflation.

Read more: [Global Sulphur Cap](#)

Niyamgiri Hills



Source: TH

Recent calls to revive **bauxite mining in Odisha's Niyamgiri Hills** have renewed concerns among tribal groups and environmental activists over indigenous rights and ecological protection.

- **About:** Niyamgiri is a **forested hill range of the Eastern Ghats** , spread across **Rayagada and Kalahandi districts of Odisha** , with elevations of roughly 700–1,400 metres.
- **Tribal Significance:** The hills are home to the **Dongria Kondh** , a **Particularly Vulnerable Tribal Group (PVTG)** that depends on the forests, streams and traditional agriculture for its livelihood.
- **Sacred Landscape:** The Dongria Kondh regard Niyamgiri as the abode of their supreme deity **Niyam Raja** , making the hills central to their cultural and religious identity.
- **Ecological Importance:** Niyamgiri supports **rich biodiversity, perennial streams, forests and climate-resilient agro-ecosystems** and performs important functions such as water conservation, carbon sequestration and regulation of local climate.
 - It supports river systems including the **Vamsadhara (Bansadhara)** and **Nagavali** and has wider ecological significance.
- **Biodiversity:** It hosts a rich variety of wildlife, including the **leopards** , **sloth bears** , and **giant squirrels** .
- **Gram Sabha Significance:** In **2013** , following the Supreme Court's direction, **12 Gram Sabhas in Rayagada and Kalahandi unanimously rejected the proposed mining project** , making Niyamgiri a landmark case in the recognition of **Forest Rights Act, 2006 -based community, cultural and religious rights** .



Read More: [Dongria Kondh Tribe](#)

Gandak River Floods in Bihar

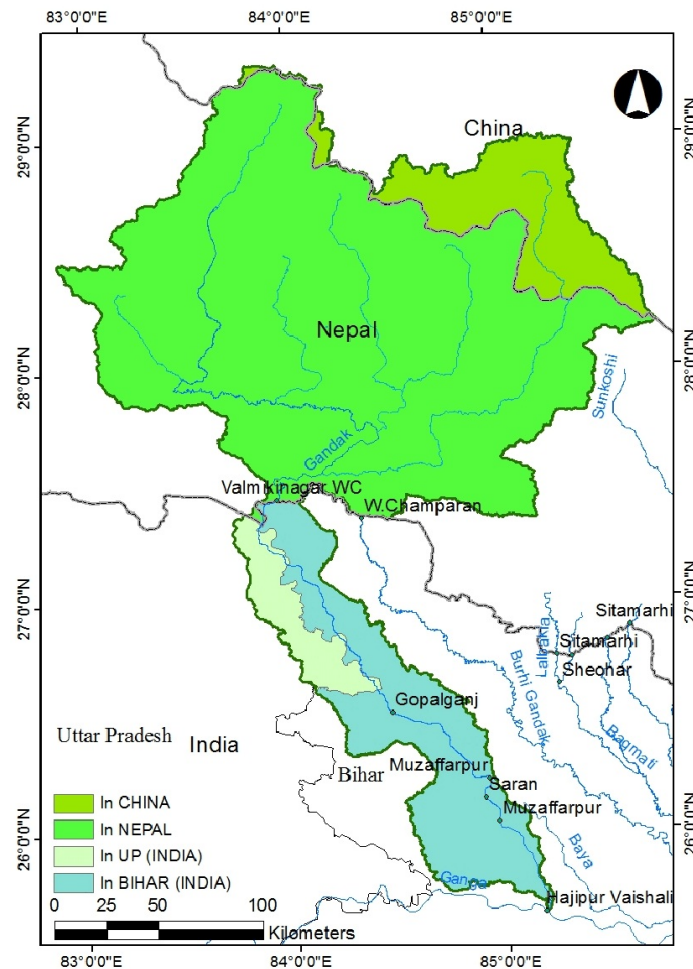


Source: TH

Recently, heavy rainfall in **Nepal's catchment areas** caused the **Gandak River** to swell and breach embankments in parts of Bihar, **particularly West Champaran**.

- **About: The Gandak River**, known as the Narayani in Nepal, is an important transboundary Himalayan river and a tributary of the **Ganga** .
- **Origin and Course:** It originates near the **Tibet-Nepal border**, flows through **Nepal's Mustang region** , crosses the Indo-Nepal border near **Triveni Dham**, and enters **Bihar near Valmikinagar**.
- **Course in India:** From Valmikinagar, the Gandak flows through the **plains of Bihar and Uttar Pradesh** , passing through areas such as West Champaran and other north Bihar districts before joining the Ganga near **Hajipur-Sonepur (Harihar Kshetra)** in Bihar.

- **Major Tributaries:** Major rivers of the Gandaki system include the **Kali Gandaki, Trishuli, Budhi Gandaki, Marsyangdi, Seti, Madi and Daraudi** .
- **Valmikinagar Barrage:** Located near the Indo-Nepal border, the barrage is an important structure for **irrigation and regulation of Gandak waters** . Heavy inflows from Nepal can lead to very high downstream discharge during intense monsoon rainfall.
- **Ecological Importance:** The Gandak ecosystem supports species such as the **gharial** , **Gangetic dolphin** and **turtles** , while also sustaining agriculture, settlements and cultural landscapes along its course.



Read More: [Gandak River](#)